

Operational Resilience and Continuity Policy

Monzo Bank Europe Designated Activity Company (“MBEU”)

Version	Date	Author	Summary of change	Status
v1.0	17/10/2024	MBEU	Board approved draft for application submission	Submitted
v1.1	19/03/2024	MBEU	Updates following KPMG review.	TBC

Policy Ownership & Review Frequency

Document owner	Chief Operating Officer, Monzo Bank Europe DAC (“MBEU”)
Document approver	Board of Directors, Monzo Bank Europe DAC (“MBEU”)
Approval date	07 October 2024
Review Cycle	Annual

**Application
Submission
Reference**

- CBI Deliverable 10.f.xxiv. Operational Resilience and Continuity Planning

1. Purpose

Operational disruptions to the products and services that MBEU provides, and our ability to effectively respond to disruption, has the potential to cause harm to our customers, threaten the viability of our company and cause instability in the financial system. Equally, to deliver on the Monzo Group's mission to *'make money work for everyone'* we need to provide our customers with resilient business services as we won't be making money work for them if they can't use their cards, access information in the app or talk to customer services when they need to.

To meet the expectations of our customers and regulatory authorities, our most Important Business Services (IBS) and our Critical and Important Functions (CIF) need to be able to avoid, adapt, respond to, recover from and learn from operational disruptions. To achieve this MBEU identifies and builds resilience across the business services that matter the most to our customers, while simultaneously ensuring that operational risks are effectively mitigated to also build resilience at an enterprise level. By doing both of these things, and establishing appropriate governance, MBEU is able to ensure that the company as a whole is better protected from risks that could impact business operations but with additional emphasis placed on the services that would be most impactful if disrupted.

Additionally, to further help to make sure we are prepared for disruptive events we do what we can to avoid them, work to reduce the impact they could have and prepare for them in case they actually happen. To support this, MBEU must assess which activities are the most critical, defining our IBS and CIF's, identify what scenarios could cause disruption, take action to improve relevant controls and also develop and test response plans to make sure we are well prepared for disruption. The requirement to do this originates in the principles of Business Continuity Management (BCM) and these are a foundational part of Operational Resilience at MBEU. This policy incorporates elements of regulatory aligned Operational Resilience requirements as well as the principles of BCM.

The policy will be supported by the associated procedures outlined against the relevant Policy Statements and Minimum Standards.

This Policy is a sub-policy to the ICT and Security Risk Management Framework and should be read in conjunction with it.

This policy is also closely aligned to the Infrastructure Resilience Policy which provides further detail on ICT resilience capability and approaches. The combination of both policies support MBEU in providing a resilient service through a readily available platform and supporting BCP's in place for when disruption occurs.

2. Scope

The Monzo Group (the "**Group**") consists of Monzo Bank Holding Group Limited ("**MBHG**") and its direct and indirect subsidiaries including Monzo Bank Limited ("**MBL**"), Monzo US Inc, and MBEU. This Policy applies to all MBEU business areas, products and operations and all activities that MBEU is responsible for, whether they are performed by MBEU or on its behalf by a Third Party.

This Policy document applies to all MBEU employees and any Monzo Group employees involved in Intra-group outsourcing or provision of services to MBEU ("**Monzonauts**"), and to any external contractors or consultants from outside the Monzo Group ("**Contractors**"). This includes all Monzonauts and Contractors who are involved in the scoping, selection and management of a new Third Party, or adding a new engagement to an existing Third Party.

This document applies to all IBS and CIF's identified by MBEU (IBS information is detailed in Schedule 1 to this document (Important Business Services Mapping)).

3. Approach

As a Credit Institution authorised in Ireland, MBEU pays close attention to all applicable regulatory requirements and in particular notes the content of the Central Bank of Ireland's (the "**CBI**") Cross Industry Guidance on Operational Resilience (the "**CBI Guidance**") and the Digital Operational Resilience Act ("**DORA**")

This document is designed to align MBEU's approach to the core principles on operational resilience outlined in the CBI Guidance and DORA, namely:

- Board and senior management ownership of the Operational Resilience Framework evidenced, in accordance with Guideline 1 of the CBI Guidance, by the Board's approval of this document;

- The identification of IBS and CIF's and all activities, people, processes, information, technologies and Third Parties involved in the delivery of these services;
- The setting of impact tolerances for each IBS, and the testing of MBEU's ability to stay within those impact tolerances during a severe but plausible operational disruption scenario; and
- The continuous review of how MBEU responded and adapted to disruptive or potentially disruptive events so that lessons learned can be incorporated into operational improvements to continually enhance the operational resilience of MBEU.
- Ongoing testing of MBEU's digital resilience capability, monitoring and reporting of incidents and remediating identified vulnerabilities where required.

This document also aims to internalise the requirements for a holistic approach to the management of operational resilience and related risks and to ensure, in accordance with Guideline 2 of the CBI Guidance and DORA, that the Operational Resilience Framework is aligned with MBEU's overall governance and risk management frameworks.

3. Relevant Rules & Regulations

- The EBA Guidelines on the security measures for operational and security risks of payment services under Directive (EU) 2015/2366 (PSD2)
- BASEL II - 7th Operational Risk Principle on contingency and business continuity planning
- BCI Good Practice Guidelines
- The European Union (Payment Services) Regulations 2018
- EBA Recommendations on Outsourcing to Cloud Service Providers
- Payment Card Industry - Data Security Standard (PCI DSS)
- The CBI Cross Industry Guidance on Operational Resilience
- Digital Operational Resilience Act (DORA)

4. Definitions, Roles & Responsibilities

Term / Role	Definition / Responsibilities
Approval Date	The date a policy version was approved per the requirements set out at the start of this Policy.
Board	Board means the board of directors of MBEU Responsible for: • Approving this Policy • Approving exemptions to this Policy • Overseeing compliance with this Policy
Document Owner	Responsible for: • Writing, seeking approval for, and communicating this Policy • Ensuring this Policy complies with relevant laws, regulations, MBEU's risk appetite and other policies • Ensuring MBEU complies with this Policy - including implementing monitoring to identify where policy statements and minimum standards are not being met • Seeking approval for exemptions to this Policy • Regularly reviewing this Policy in line with the Review Frequency outlined in this Policy (at minimum) to ensure that it remains fit for purpose The Policy Owner can delegate their responsibility to an appropriate Monzonaut, where required.
Effective Date	The date the version of the Policy goes live.
Next Full Review Due Date	This is the date that the next full review must be completed and approved by - this is usually 12 months from the Effective Date of the last Full Review.
Important Business Service Owners	Important Business Service Owners own and deliver a number of operational resilience specific processes. Each IBSO is responsible for the delivery of their Important Business Service on a day to day basis, monitoring performance, supporting incident management, maintaining artefacts, risk assessing and identifying areas for improvement. In addition they are required to deliver specific operational resilience projects throughout the year such as mapping, tolerance setting and scenario testing.
Chief Information Officer	Responsible for ensuring the efficient and secure operation of ICT systems, oversight of delivery of ICT projects, and management and development of ICT resources
Risk and Control Leads	The 1st line risk and control team support MBEU's operational resilience capability by implementing and delivering the Enterprise Risk Management Framework on a day to day basis.
Response Plan Owners	Effective Response Plans are a dependency for operational resilience. These plans have owners who are required to update their plan and ensure it is tested on at least an annual basis.
Severe but plausible scenario	MBEU defines a severe but plausible scenario as one which is deemed possible but also has the potential to cause intolerable harm to our customers, MBEU or to wider financial markets.

5. Policy Statements & Minimum Standards

Category	#	Policy Statement	Minimum Standards	Associated Standard / Procedure / Guidance
Identification of Critical or Important Business Services	1.1	We assess our services to determine which are deemed 'Critical or Important' (for the purposes of this document, "Important Business Services")	In accordance with Guideline 4 of the CBI Guidance, MBEU operated business services must be identified and assessed to determine those which are deemed the 'Important Business Services' provided by MBEU to an external end user or market participant where a disruption to the provision of the service could cause material customer detriment; harm market integrity; or threaten a MBEU's viability, safety and soundness, or financial stability. MBEU defines a Business Service as a service that MBEU provides to an external end user. Business services deliver a specific outcome or service to an identifiable user and should be distinguished from business lines or functions, which are a collection of services and activities. In accordance with Guideline 3 of the CBI Guidance, the Board must Review and approve the criteria for important business services at least annually or at the time of implementing material changes to the business that would involve additional important business services	Important Business Service Assessments